In The News: Price Discrimination Reaches the Supreme Court

A price-discriminating monopolist charges different prices to different customers. Sometimes the attempt to arbitrage price differences leads to high-stakes legal challenges. In this opinion piece, two law professors discuss a recent case.

How "Price Discrimination" Helps Less-Affluent Countries

By Daniel Hemel and Lisa Larrimore Ouellette

Supreme Court decisions affect ordinary Americans on matters from health care to housing, but rarely does a ruling make a material difference for people abroad. On Tuesday the high court will hear a case that represents an exception to the rule.

Impression Products Inc. v. Lexmark International is at bottom a case about price discrimination, the practice of charging higher prices to customers who likely can pay more and offering discounts to those who cannot. In many cases, the practice benefits less affluent consumers, who receive a discount to purchase products that they otherwise might not be able to afford. The Supreme Court's decision will determine whether companies can continue to use patent laws to protect their interest when they set prices lower for consumers abroad.

Lexmark, a Chinese-owned corporation based in Kentucky, makes laser printers and holds patents that cover its toner cartridges. The defendant, West Virginia-based Impression Products, started buying cartridges from Lexmark customers abroad and reselling them for a higher price inside the U.S. Lexmark responded by suing Impression for infringing Lexmark's patents. The trial court dismissed Lexmark's complaint, but the U.S. Court of Appeals for the Federal Circuit reversed that decision in February 2016.

The Justices of the Supreme Court.

AP images/J. Scott Applewhite

One question before the Supreme Court is whether Lexmark's initial overseas sales of its toner cartridges "exhausted" its U.S. patent rights over those cartridges. Lexmark said it didn't, while Impression disagreed. The Federal Circuit sided with Lexmark. If the company prevails again at the Supreme Court, then a U.S. patent holder could sell a product overseas without losing the ability to enforce its patent against someone who tries to import and sell the product in the U.S.

Impression says its preferred "exhaustion" rule will be better for U.S. consumers. It has a point: A flood of reimported goods into the U.S. would likely mean lower prices for Americans. But if the lower court's ruling stands, that means Lexmark can set a lower price in less-affluent nations without worrying that overseas sales will cannibalize the U.S. market.

If this case were only about printer cartridges, we might not be worried about the outcome. Yet the Supreme Court's decision will also apply to pharmaceutical products now sold for a discount in less developed countries. And it will apply to educational products like the low-cost XO tablets manufactured by Sakar International and distributed to schoolchildren world-wide.

If the patent laws cannot be used to prevent such products from being resold in the U.S., then you can bet that prices elsewhere will begin to rise toward U.S. levels. In countries where people live on a fraction of what Americans do, consumers might soon be required to pay ever greater shares of their income for medicine, for example. Even worse: Since pharmaceutical companies are subject to price controls in many countries, they might respond by pulling their drugs from some overseas markets.

There are almost certainly consumers in the U.S.—including some living on very low incomes—who would benefit if Impression wins. This is a case that implicates the distribution of wealth among individuals and across nations—and distribution questions are rarely easy. At the very least we hope that the justices will consider what their decision might mean for consumers beyond the U.S.—and especially in developing countries—who will feel the weight of the court's judgment.

Author's update: In May 2017, the Supreme Court reversed the decision of the Federal Circuit Court and ruled in favor of Impression Products, arguing that "extending the patent rights beyond the first sale would clog the channels of commerce." As a result, Lexmark cannot prevent Impression Products from buying lower-price cartridges abroad and reselling them in the United States at a higher price. This ruling makes it harder for companies such as Lexmark to price discriminate by charging lower prices in poorer nations.

Questions to Discuss

1. Do you think U.S. pharmaceutical companies should be able to charge lower prices for their patented drugs in poorer countries and prevent the product from being re-imported into the United States? Why or why not?
2. Do you think American students should pay more for textbooks than students in poorer countries? Why or why not?

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